TAIYAB SHAHID&CO.
Chartered Accountants

INDEPENDENT AUDITOR'S REPORT
TO THE TRUSTEES OF ALMARAH FOUNDATION
REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

OPINION

We have audited the annexed financial statements of **ALMARAH FOUNDATION (FOUNDATION)**, which comprise the statement of financial position as at June 30, 2026, income & expenditure account, the statement of cash flows and notes to the accounts (hereinafter referred to as financial statements), including a summary of significant accounting policies.

In our opinion, accompanying financial statements of the Foundation for the year ended June 30, 2026, are prepared in all material respects, in accordance with the financial reporting provisions as prescribed in Note 2 of the financial statements.

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (ISAs) as applicable in Pakistan. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Foundation in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* as adopted by the Institute of Chartered Accountants of Pakistan (the Code) and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

EMPHASIS OF MATTER – BASIS OF ACCOUNTING

We draw attention to Note 2.1 to the financial statements, which describe the basis of accounting. The financial statements are prepared to assist the management in submission to tax and regulatory authorities in complying with the reporting requirements. As a result, the financial statements may not be suitable for another purpose. Our opinion is not modified in respect of this matter.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE FINANCIAL STATEMENTS

Management is responsible for the preparation of the financial statements in accordance with the financial reporting provisions mentioned in note 2.1 of the financial statements, and for such internal control as the management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Foundation's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Foundation or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Foundation's financial reporting process.

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AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs as applicable in Pakistan will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs as applicable in Pakistan, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Foundation's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Foundation's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Foundation to cease to continue as a going concern.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

The engagement partner on the audit resulting in this independent auditor's report is Mr. Muhammad Taiyab (FCA).

TAIYAB SHAHID & CO.

TAIYAB SHAHID & CO.,
Chartered Accountants

Taiyab Shahid & Co. Chartered Accountants

Lahore
Dated: SEPTEMBER 18, 2026

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ALMARAH FOUNDATION
STATEMENT OF FINANCIAL POSITION
AS AT JUNE 30, 2026

	Notes	2026 Rupees	2025 Rupees
CAPITAL AND LIABILITIES			
ACCUMULATED FUND			
Capital Reserve Funds	5	449,297,618	429,351,869
		449,297,618	429,351,869
CURRENT LIABILITIES			
Creditors, Accrued and Other Liabilities	6	6,832,772	5,739,452
Provision for Income Tax		-	-
		6,832,772	5,739,452
CONTINGENCIES AND COMMITMENTS	7	-	-
		456,130,390	435,091,321

	Notes	2026 Rupees	2025 Rupees
PROPERTY AND ASSETS			
NON CURRENT ASSETS			
Operating Fixed Assets	3	251,903,930	251,974,262
Qarz-E-Hasna - Loan		500,000	500,000
Security Deposits		6,735,000	6,295,000
Long Term Investments		-	30,000,000
Capital work in progress		164,479,028	88,632,957
		423,617,958	377,402,219
CURRENT ASSETS			
Prepaid Rent		-	522,387
Accrued Income		-	792,822
Advance income tax		3,671,221	3,289,057
Cash and Bank Balances	4	28,841,211	53,084,836
		32,512,432	57,689,102
		456,130,390	435,091,321

The annexed notes from 1 to 11 form an integral part of these financial statements.

PRESIDENT

SECRETARY

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ALMARAH FOUNDATION
INCOME AND EXPENDITURE ACCOUNT
FOR THE YEAR ENDED JUNE 30, 2026

EXPENDITURE	Notes	2026 Rupees	2025 Rupees	INCOME	Notes	2026 Rupees	2025 Rupees
Food Charity		9,754,403	6,937,181	Donations	8	227,253,680	259,766,952
Kitchen Grocery Charity		29,025,931	28,026,318	School Fee		1,060,490	610,000
Bank Charges		83,712	25,705	Profit on Saving		1,020,044	6,462,482
Grants and Stipends		6,372,490	2,572,270	Account and TDRs			
Events and Seminars		13,947,247	13,382,401	Other receipts		-	31,366
Kids Charity Project		9,885,178	6,271,285				
Utilities		12,466,712	12,052,805				
Legal and Professional Charges		2,172,875	1,056,880				
Fee and Subscription		1,576,684	250,000				
Office Expenses		1,020,098	1,130,940				
Salaries		41,288,734	34,071,766				
House Rent		25,632,300	23,589,613				
Almarah School Expenses		7,042,152	5,046,112				
Website and Software		1,697,656	1,676,835				
Communication		2,829,652	839,759				
Advertisement		6,318,071	5,708,719				
Commission		1,110,000	671,000				
Stationary		3,990,775	1,890,138				
Renovation		4,581,479	18,380,450				
Travelling		645,830	702,736				
Repair and Maintenance		8,013,906	2,840,378				
Fuel Charges		7,916,252	10,447,534				
Depreciation		12,016,328	11,746,165				
		209,388,465	189,316,990			229,334,214	266,870,800
Excess of Income over Expenditure		19,945,749	77,553,810	**Excess of Expenditure over Income**			
		229,334,214	266,870,800			229,334,214	266,870,800

The annexed notes from 1 to 11 form an integral part of these financial statements.

PRESIDENT

SECRETARY

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ALMARAH FOUNDATION
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED JUNE 30, 2026

RECEIPTS	2026 Rupees	2025 Rupees
OPENING BALANCE		
Cash at bank	52,755,895	91,096,795
Cash in Hand	328,941	477,896
	53,084,836	91,574,691
Donations	227,253,680	259,766,952
School Fee	1,060,490	610,000
Profit on Saving Account & TDRs	1,812,866	5,669,661
TDR's encashed	30,000,000	-
	260,127,036	266,046,613
	313,211,872	357,621,304

PAYMENTS	2026 Rupees	2025 Rupees
Food Charity	9,754,403	6,937,181
Kitchen Grocery Charity	29,025,931	28,026,318
Events & Seminars	13,947,247	13,382,401
Kids Charity Project	9,885,178	6,271,285
Legal and Professional Charges	2,172,875	1,056,880
Almarah School Expenses	7,042,152	5,046,112
Bank Charges	83,712	25,705
Term Deposit Receipt	-	30,000,000
Fixed Assets	11,945,996	7,318,369
Security Deposit	440,000	3,835,000
Donation	6,372,490	2,572,270
Office Expenses	1,020,098	1,130,940
Utilities	16,524,225	11,931,799
Salaries	36,137,901	29,998,635
Website and software	1,697,656	1,676,835
Apna Ghar complex	75,846,071	88,632,957
Renovation	8,581,479	18,380,450
Travelling	645,830	702,736
Stationary	3,990,775	1,890,138
Vehicle maintenance expenses	4,013,906	2,840,378
Fee and subscription	1,576,684	250,000
Advance income tax	382,164	851,067
House rent	25,109,913	24,112,000
Communication	2,829,652	839,759
Advertisement	6,318,071	5,708,719
Commission	1,110,000	671,000
Fuel Charges	7,916,252	10,447,534
	284,370,661	304,536,468
CLOSING BALANCE		
Cash at Bank	28,581,451	52,755,895
Cash in Hand	259,760	328,941
	28,841,211	53,084,836
	313,211,872	357,621,304

The annexed notes from 1 to 11 form an integral part of these financial statements.

PRESIDENT

SECRETARY

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ALMARAH FOUNDATION
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2026

1 NATURE AND STATUS OF ASSOCIATION

M/s Almarah Foundation "Foundation" is a not for profit organization registered under the Societies Registration Act, XXI of 1860. The main objective of the foundation is to establish charitable institution for the benefits and uplift of humanity and work for the elimination of poverty, disease, misery and distress of orphans. The registered office of the Foundation is situated at 3-Canal Park, Gulberg-2, Lahore .

2 SIGNIFICANT ACCOUNTING POLICIES

2.1 Basis of Preparation

These financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan. Accounting and reporting standards applicable in Pakistan comprise of:
IFRS for SMEs Accounting Standard issued by the International Accounting Standards Board (IASB) as notified under the Companies Act, 2017; and
Provisions of, directives and notifications issued under the Companies Act, 2017.

Where provisions of, directives and notifications issued under the Companies Act, 2017 differ from the IFRS for SMEs Accounting Standard (state whichever is applicable), the provisions of, directives and notifications issued under the Companies Act, 2017 have been followed.

2.2 Accounting Convention

These accounts have been prepared in accordance with the historical cost convention without any adjustment for the effects of inflation or the prevailing values.

2.3 Operating fixed assets and depreciation

Operating fixed assets are stated at cost less accumulated depreciation. Depreciation is charged to income on reducing balance method to write off the cost of operating fixed assets over their expected useful life.

Depreciation on additions is charged from the year in which the asset is put to use, while no depreciation is charged in the year of disposal.

Maintenance and normal repairs are charged to income as and when incurred. Major renewals and improvements are capitalized. Gain or loss, if any, on disposal of operating fixed assets is included in current year's income.

2.4 Taxation

The tax liability and taxable income of the Association is determined under the provisions of Income Tax Ordinance, 2001.

2.5 Income

Donations and Profit on bank deposits are recorded on receipt basis.

2.6 Provisions

Provisions are recognized when the Foundation has a present legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and reliable estimate of the amount can be made.

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ALMARAH FOUNDATION
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2026

3 OPERATING FIXED ASSETS

Reconciliation of carrying values at the end of the year:

PARTICULARS	COST			DEPRECIATION					WDV as on 30 June 2026
	As At 01-Jul-25	Addition/ (Deletion)	As At 30-Jun-26	RATE (%)	As At 01-Jul-25	Adj. (Deletion)	For The Year	As At 30-Jun-26	
Owned Assets:									
Land	187,291,474	-	187,291,474	0%	-		-	-	187,291,474
Buildings	23,791,244	-	23,791,244	15%	9,017,884		2,216,004	11,233,888	12,557,356
Electrical Items	12,260,932	2,433,400	14,694,332	15%	3,540,791		1,673,031	5,213,822	9,480,510
Computers	2,977,900	2,164,900	5,142,800	30%	1,662,729		1,044,021	2,706,750	2,436,050
Social Media Equipments	3,743,066	605,710	4,348,776	15%	1,038,701		496,511	1,535,212	2,813,564
Furniture & Fixtures	13,615,069	44,000	13,659,069	15%	4,905,048		1,313,103	6,218,151	7,440,918
Vehicles	34,796,000	4,300,000	39,096,000	15%	10,533,484		4,284,377	14,817,861	24,278,139
CCTV Room	4,937,898	2,397,986	7,335,884	15%	740,685		989,280	1,729,965	5,605,919
Total Rupees 2026	**283,413,583**	**11,945,996**	**295,359,579**		**31,439,321**	**-**	**12,016,328**	**43,455,649**	**251,903,930**

3.1 OPERATING FIXED ASSETS

Reconciliation of carrying values at the end of the year:

PARTICULARS	COST			DEPRECIATION					WDV as on 30 June 2025
	As At 01-Jul-24	Addition/ (Deletion)	As At 30-Jun-25	RATE (%)	As At 01-Jul-24	Adj. (Deletion)	For The Year	As At 30-Jun-25	
Owned Assets:									
Land	187,291,474	-	187,291,474	0%	-		-	-	187,291,474
Buildings	23,791,244	-	23,791,244	15%	6,410,820		2,607,064	9,017,884	14,773,360
Electrical Items	10,058,511	2,202,421	12,260,932	15%	2,001,943		1,538,848	3,540,791	8,720,141
Computers	2,799,850	178,050	2,977,900	30%	1,099,085		563,645	1,662,729	1,315,171
Social Media Equipments	3,743,066	-	3,743,066	15%	561,460		477,241	1,038,701	2,704,365
Furniture & Fixtures	13,615,069	-	13,615,069	15%	3,367,985		1,537,063	4,905,048	8,710,021
Vehicles	34,796,000	-	34,796,000	15%	6,251,863		4,281,621	10,533,484	24,262,516
CCTV Room		4,937,898	4,937,898	15%	-		740,685	740,685	4,197,213
Total Rupees 2025	**276,095,214**	**7,318,369**	**283,413,583**		**19,693,155**	**-**	**11,746,165**	**31,439,321**	**251,974,262**

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ALMARAH FOUNDATION
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2026

		2026 Rupees	2025 Rupees
4	**CASH AND BANK BALANCES**		
	Cash at Bank		
	-Current accounts	23,543,268	51,920,756
	-Saving accounts	5,038,183	835,139
	Cash in Hand	259,760	328,941
		28,841,211	53,084,836
5	**CAPITAL RESERVE FUNDS**		
	Opening Balance	429,351,869	351,798,059
	Transferred from Surplus/(Deficit) account	19,945,749	77,553,810
	Closing Balance	449,297,618	429,351,869
6	**CREDITORS, ACCRUED AND OTHER LIABILITIES**		
	Trade creditors	101,349	1,356,072
	Withholding income taxes payable	238,727	9,000
	Accrued expenses	6,492,696	4,374,380
		6,832,772	5,739,452

7 CONTINGENCIES AND COMMITMENTS

There are no contingent liabilities and contingencies as on statement of financial position date (2025: NIL).

8	**DONATIONS**		
	Donations		
	Received through banking channels	200,059,691	257,563,960
	Received through donation boxes	4,150,200	2,202,992
	Donations in Kind	23,043,789	-
		227,253,680	259,766,952
	Transfer to building reserve fund	-	-
		227,253,680	259,766,952

9 CORRESPONDING FIGURES

Corresponding figures have been rearranged and reclassified wherever necessary to reflect more appropriate presentation of events and transactions for the purpose of comparison. However, there is no material rearrangement.

10 GENERAL

Figures have been rounded off to the nearest rupee.
Previous year's figures have been re-arranged wherever necessary for the purpose of comparison.

11 DATE OF AUTHORIZATION AND ISSUE

These financial statements were authorized for issue on ---------- by governing body.

PRESIDENT

SECRETARY

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